days in the first four months of 2023. By 2050, 30 Indian cities are likely to face acute water scarcity. This planetary crisis is also aggravated by growing social inequity worldwide. Clearly, radical changes in growth models are imperative if future progress is to be sustainable and inclusive.

It is heartening to note the leadership role being played by India in spearheading climate action and transitioning to a net-zero economy. The Hon'ble Prime Minister had earlier unveiled the Panchamrit plan setting out our nationally determined contribution goals. Several progressive interventions have been taken by the Government including the International Solar Alliance, National Hydrogen Mission, apart from a slew of other policy measures. Transition to a net-zero economy will require faster adoption of green technologies, as well as accelerated investments in R&D to develop new pathways through viable and accessible technology solutions, particularly in agriculture and hard-to-abate sectors as well as carbon capture, usage and storage. Despite efforts to move towards net zero, IPCC has warned of the likelihood of breaching the tipping point of 1.5°C in the near term multiplying extreme weather events manifold. Therefore, it is imperative to bring Adaptation to the centre stage of climate action.

The ITC Next framework mainstreams sustainability as an integral part of business strategy to leverage emerging opportunities, build resilience and competitiveness, whilst pursuing a bold agenda for adaptation and mitigation. Substantial investments have been directed towards establishing green infrastructure, expanding renewable energy, enabling higher resource efficiency, promoting sequestration and nature-based solutions and in embedding circularity in business models.

> **"The ITC Next framework mainstreams sustainability as an integral part of business strategy to leverage emerging opportunities, build resilience and competitiveness, whilst pursuing a bold agenda for adaptation and mitigation."**

Your Company has made tremendous progress on decarbonisation. Despite a growing operational footprint, nearly 43% of ITC's total energy consumption is from renewable sources. Investments in solar, wind and biofuels have contributed to an installed capacity of 178 MW. ITC is also a pioneer in the green building movement with 49 LEED certified buildings. Contributing to Circularity, ITC has been plastic neutral for the 2nd consecutive year. Your Company remains committed to developing newer technology pathways. Towards this end, partnerships have been forged with leading research organisations to develop viable energy storage systems, decarbonise cold chains and improve prediction modelling for generation of renewable energy.

To build resilience against the growing threat of extreme weather events, your Company has initiated several purposeful adaptation measures to secure physical infrastructure and de-risk agri value chains. We have invested substantially in pursuing adaptation through innovative nature-based solutions in view of its effectiveness in building resilience of farming and rural communities. These include Afforestation, Biodiversity, Climate Smart Agriculture and Water Stewardship. The Afforestation initiative today sequesters nearly 6 million tonnes of CO_2e annually. ITC's Biodiversity Conservation initiatives have restored over 2,90,000 acres in 12 States and we intend to cover 1 million acres by 2030. Under the Water Stewardship initiatives, the Integrated Watershed Development Programme has covered over 1.4 million acres with 28,000 water harvesting structures. The demand-side management programme undertaken in 1.2 million acres has led to water usage efficiencies of 20-45% across 15 crops, resulting in water savings potential of 780 million kilolitres. ITC has now embarked upon an ambitious plan of achieving water positive status at river basin level that will also benefit local ecosystems. The success achieved in making the Ghod river basin water positive in a span of 5 years has emboldened us to implement 4 more such river regeneration projects.

Your Company has also committed to pursuing Alliance for Water Stewardship (AWS) certification for all high water stressed sites by 2035. Recently, your Company's unit at Malur has become Asia's first food factory to be awarded the AWS Platinum level certification, which follows a similar achievement for our Paperboards Unit in Kovai.

Recognising the need to comprehensively address the challenge of global warming, a climate risk modelling exercise using advanced analytics was undertaken at a pan ITC level, which was subsequently followed with site-specific and agri value chain-specific assessments so as to sharp target adaptation actions. Based on such studies, appropriate site-specific interventions are being progressed.

Over the years, your Company has implemented an impactful Social Investments Programme to catalyse gainful livelihood opportunities for rural communities through a two-horizon approach. Horizon-1 focuses on strengthening current livelihoods of communities, primarily in agriculture and allied sectors whilst Horizon-2 builds capabilities for a better tomorrow. Interventions in areas such as primary education, vocational training, women empowerment, healthcare and others have been progressively scaled up over the years. Pursuing our Diversity and Inclusion goals, it is heartening that our recent ICMLs employ a majority of women, ranging between 50-75% of the total workforce.

Your Company sustained its 'AA' rating by MSCI-ESG for the 5th consecutive year reinforcing its leadership amongst peers. It is a matter of pride that our innovative initiatives have enabled ITC to be the only company of its size to achieve the global environmental distinction of being carbon, water and solid waste re-cycling positive for over 18, 21 and 16 years respectively.

ITC's sustainability approach has not only led to globally distinctive performance but also contributed to making the enterprise, its value chains and the rural communities that we engage with much more resilient.

IN CONCLUSION

India's confident march to Amrit Kaal will undoubtedly present exciting growth opportunities. Inspired by the opportunity to make a larger contribution to the nation, we have consistently pushed the boundaries of what is possible by building the businesses of tomorrow, by making innovation the foundation of our future-readiness, by embracing technology that will redefine the horizon and by making sustainability the soul of our enterprise.